



Weekly CAN/U.S. Media Report
Prepared by: Directorate of Continental Materiel Cooperation
Reporting Period: June 14-20th, 2026



Key Procurement and Defence Relationship Stories

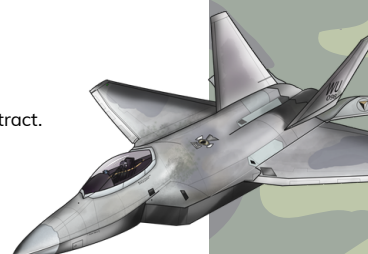
1. U.S. Navy contract includes Canada under FMS framework

Source: U.S. Department of Defense Contracts (June 15, 2026)

- Lockheed Martin was awarded a \$223.9M contract modification for sonar/navigation systems.
- The contract includes Canada (3%) via the Foreign Military Sales (FMS) program.
- Work will primarily take place in the United States, with Canadian participation funded through the contract.

Key Implications

- Canada continues to rely on FMS mechanisms for naval capability procurement and sustainment.
- Even small contract shares demonstrate embedded integration in U.S. acquisition systems.
- This reflects ongoing interoperability-driven procurement, particularly in maritime domains.



2. Canada, U.S. hold detailed trade discussions at G7 summit

Source: The Globe and Mail (June 17, 2026)

- Prime Minister Carney held trade discussions with U.S. President Trump and other U.S. officials at the G7 summit in France.
- Trump stated the U.S. would do better without the USMCA but indicated openness to renewing it.
- The three countries must approve a renewal or signal intent to exit the agreement by July 1.

Key Implications

- Trade uncertainty continues to shape the broader Canada–U.S. relationship.
- Potential changes to USMCA could affect defence supply chains and procurement costs.
- Canada remains exposed to U.S. policy decisions that influence industrial inputs and cross-border cooperation.

3. Allied defence industrial base shifts toward scalable, integrated production

Source: Global Defence Intelligence Report (June 20, 2026)

- Western defence industries are prioritizing mass production, modular systems, and interoperability.
- Supply chains are being restructured toward localized and resilient allied production capacity.
- Military exercises reinforce increased multinational operational coordination and integration.

Key Implications

- Canada faces growing pressure to align procurement with U.S. and NATO industrial and technical standards.
- There is increasing emphasis on industrial preparedness and surge capacity, not just acquisition.
- Reinforces the importance of balancing North American integration with domestic industrial capability.

4. Canada joins allies in new defence package for Ukraine

Source: Reuters (June 20, 2026)

- Sweden announced that it, along with Norway and Canada, will deliver a new defence assistance package to Ukraine.
- The package reflects continued coordination among Western allies on military aid.
- Contributions are part of broader allied efforts to sustain Ukraine's defence capabilities.

Key Implications

- Canada continues to operate within closely coordinated allied defence frameworks, including with the U.S. and NATO partners.
- Multinational cooperation on aid reinforces interoperability and aligned procurement priorities.
- Participation in joint packages may influence future capability development and industrial collaboration.

